

MASTER PROCUREMENT AGREEMENT

McKesson Corporation — Hardy PLC

Contract No: MCK-2024-0112 | Effective: 2024-02-01 | Expiry: 2027-01-31

1. PARTIES

Role	Entity	Address	Contact
Buyer	McKesson Corporation	One Post Street, San Francisco, CA 94104	procurement@mckesson.com
Supplier	Hardy PLC	200 Commerce St, Memphis, TN 38101	James Hardy j.hardy@hardyplc.co.uk

2. SCOPE OF AGREEMENT

This Master Procurement Agreement ('Agreement') governs the procurement of Logistics & Warehousing products and services by McKesson Corporation ('Buyer') from Hardy PLC ('Supplier'). All purchase orders issued under this Agreement are subject to the terms herein.

3. PRICING SCHEDULE

Line Item / Service	Unit Price	Volume Commitment
Temperature-Controlled Storage	\$8.50/pallet/day	2,000 pallets avg
Last-Mile Delivery (cold chain)	\$22.00/shipment	150,000 shipments/yr
Returns Processing	\$4.75/unit	80,000 units/yr

4. COMMERCIAL TERMS

Total Annual Spend (Est.)	\$9,400,000
Negotiated Savings	9.1%
Payment Terms	Net 30
Currency	USD
Invoice Frequency	Monthly
Early Pay Discount	1% / 10 Net 30

5. SERVICE LEVEL AGREEMENT (SLA)

Supplier shall meet the following performance standards: **98.5% on-time delivery**, **<0.1% damage rate**. Performance will be measured monthly and reported in the Supplier Scorecard.

6. PENALTIES & REMEDIES

In the event of SLA non-compliance, the following remedies apply: 3% invoice credit per percentage point below 98.5% OTD. Repeated breaches (3 or more in a 12-month period) constitute grounds for contract termination.

with 30 days written notice.

7. GENERAL TERMS

Confidentiality: Both parties agree to maintain strict confidentiality of all proprietary information exchanged under this Agreement for a period of 5 years post-termination.

Governing Law: This Agreement shall be governed by the laws of the State of California, without regard to conflict of law principles.

Force Majeure: Neither party shall be liable for delays caused by circumstances beyond their reasonable control, provided written notice is given within 5 business days.

Amendments: Any amendments to this Agreement must be made in writing and signed by authorized representatives of both parties.

Termination for Convenience: Either party may terminate this Agreement with 90 days written notice. McKesson may terminate immediately for cause with documented evidence.

8. AUTHORIZED SIGNATURES

McKesson Corporation

Hardy PLC

Authorized Signatory

Title: VP, Strategic Sourcing

Date: _____

Authorized Signatory

Title: James Hardy

Date: _____